engines.” Earnings grew, but the multiple on those earnings actually contracted. In 1962, it traded for around 20 times earnings, but two decades later the market had the stock trading for just 10 times earnings.

But part of it was also Gillette’s falling profit margins and falling return on assets:

Date	Profit margin	ROA
12/31/62	16.4%	23.8%
12/31/63	14.0%	23.2%
12/31/64	12.6%	18.6%
12/31/65	12.5%	19.4%
12/31/66	12.6%	20.6%
12/31/67	13.2%	16.2%
12/31/68	11.3%	15.4%
12/31/69	10.8%	14.7%
12/31/70	9.9%	13.0%
12/31/71	8.6%	11.2%
12/31/72	8.7%	11.0%
12/31/73	8.1%	10.7%
12/31/74	7.0%	8.8%
12/31/75	5.7%	7.8%
12/31/76	5.2%	7.2%
12/31/77	5.0%	6.7%
12/31/78	5.5%	7.3%
12/31/79	5.6%	7.2%
12/31/80	5.4%	7.3%
12/31/81	5.4%	7.0%
12/31/82	6.0%	8.0%
12/31/83	6.7%	8.6%

In other words, it took more and more sales, and more and more assets, to generate a given dollar of profits. Its return on equity, another important measure, which we’ll look at in chapter 6, also fell. It earned 31 percent on every dollar invested in 1962, but by 1982, it earned 18 percent.

Despite its many advantages, Gillette’s business was clearly not as good as it was in 1962. There were several reasons for this.

“Gillette had to at times lower the prices of their products in order